ETERNAL LTD (ZOMATO)

SELL | 12M value ₹175 | Price ₹325.30 | -46% vs price

One-page snapshot | Built from company documents | 19 Oct 2026

Consumer internet: food delivery, quick commerce, going-out, B2B

Key data

Metric	Value
Price / market cap (diluted)	₹325 / ₹3.07 lakh cr
Fully diluted shares	945 cr
Cash (Jun-26) / borrowings	₹18,288 cr / nil
EV (ex-leases)	₹2.89 lakh cr
EV / FY26 adj. EBITDA	243x
EV / Q1 FY27 annualised NOV	2.3x
Base / Bull / Bear today	₹155 / ₹215 / ₹58
Prob.-weighted (25/50/25)	₹146 today, ₹164 12M
Cost of equity / terminal g	12.57% / 5.0%

Latest quarter (letter p4, annexures)

Q1 FY27	Value	YoY
B2C NOV	₹31,120 cr	+54%
Food delivery NOV	₹10,769 cr	+20%+
Blinkit NOV	₹17,132 cr	+86%
District NOV	₹3,218 cr	+60%
Adjusted EBITDA	₹555 cr	+223%
Blinkit adj. EBITDA	₹102 cr	vs −₹162 cr
Blinkit stores	2,443	vs 1,544
PAT	₹92 cr	vs ₹25 cr

Investment view

- **Great business, rich price.** B2C NOV grew from ₹29,323 cr (FY23) to ₹95,959 cr (FY26); adjusted EBITDA reached ₹555 cr in Q1 FY27. At ₹325, EV is about 243x FY26 adjusted EBITDA.
- **Valuation.** A 15-year segment cash-flow model that accepts most of management's long-run targets gives ₹155 today (₹174 in 12M). Even the bull case is ₹215.
- **Reverse DCF.** The price needs Blinkit NOV growth about 17 points a year above our base case for 15 years, or a ~11% long-run Blinkit margin (mgmt: ~6%), or a ~9% cost of equity.
- **Blinkit is capital-heavy:** inventory model from Q2 FY26, ₹2,545 cr working capital, ~₹3,000 cr capex in four years; steady-state ROCE framework 41.7% pre-tax (letter p5-6).
- **Earnings quality.** FY26 other income (₹1,396 cr) exceeded PBT (₹615 cr); ESOP ₹819 cr is added back in adjusted EBITDA.
- **Management delivers near-term goals** (stores, break-even) but withdrew 100%+ growth guidance within two quarters; Q1 FY27 was the "peak" of competition.

Scenario values per share

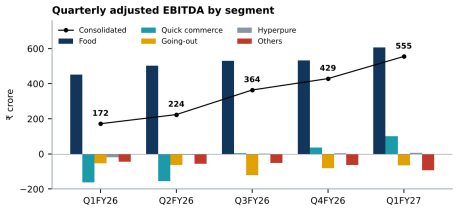
Case	Today	12M	vs px	Key assumption
Bear	₹58	₹66	-80%	Competition persists; margin ~4%
Base	₹155	₹174	-46%	72% Blinkit growth fading; 6% margin by FY33E
Bull	₹215	₹242	-26%	~60% 3-yr CAGR; 6.5% long-run margin

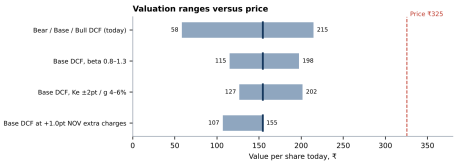
Financial summary

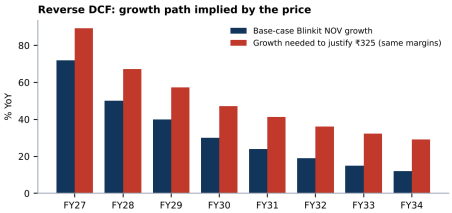
₹ crore	FY23	FY24	FY25	FY26
B2C NOV	29,323	40,562	61,852	95,959
Revenue (stat.)	7,079	12,114	20,243	54,364
Adj. EBITDA	(783)	372	1,079	1,189
Food	(10)	912	1,505	2,017
Quick commerce	(562)	(384)	(292)	(277)
Going-out	(13)	(6)	(38)	(319)
PAT	(971)	351	527	366
Other income	682	847	1,077	1,396

Estimates

Base case (analyst est.)	FY27E	FY28E	FY29E
B2C NOV, ₹ cr	142,475	197,177	261,822
Adj. EBITDA, ₹ cr	2,983	5,646	9,292
PAT (illustrative), ₹ cr	1,004	2,055	3,687
EPS (diluted), ₹	1.06	2.17	3.90
P/E at ₹325	306x	150x	83x







Risks to the SELL (upside)

- Competition eases faster; Blinkit margin reaches ~6% earlier
- Mgmt delivers ~60% 3-yr growth and food margin above 6%
- Lower discount rate (≈9% would justify the price)

Downside risks

- Subsidy-led competition persists; flat net AOV
- Capex and working-capital intensity; ₹4,592 cr lease liabilities
- Gig-worker petition, labour codes, ₹447 cr GST matters, CCI inquiry

Catalysts / watch

- Q2 FY27: Blinkit margin, throughput (₹8.3 lakh/store/day vs ₹11 target)
- 3,000 stores by Mar-27 (2,443 at Jun-26)
- Parent tax losses used up in FY27

Sources and basis. Zomato AR FY24, Eternal AR FY25, five earnings calls (Q1 FY26-Q1 FY27) and the Q1 FY27 shareholders' letter (audited FY26). Historical figures are cited by page in the full 41-page report; forecasts, cost of equity, scenario weights and the rating are analyst assumptions. Price and market rates are external inputs. The FY26 annual report file was unreadable. AI-assisted; not investment advice.